ZCAS University

BBF4302- Treasury Management

Assignment

Due Date: 13th March 2026 (submission through Turnitin on the e-learning portal)

Case Study: Zambezi Manufacturing Limited

Zambezi Manufacturing Limited (ZML) is a growing manufacturing company based in Lusaka. The company supplies products to major retailers across Zambia and has recently expanded its operations into neighbouring SADC countries.

Currently, the treasury function at ZML is managed by a small team within the Finance Department. The company uses spreadsheets and its standard accounting/ERP system to manage:

- Daily cash balances
- Payments to suppliers
- Debt repayments
- Short-term investments

However, management has identified several challenges with the system.

An internal audit report recently warned that the manual system increases the risk of financial misstatements and potential fraud. The auditors also cautioned that weaknesses in internal controls could expose the company to regulatory and reputational risk.

The Finance Director has proposed the acquisition of a Treasury Management System (TMS) to automate treasury operations, improve reporting, and strengthen internal controls. However, some senior managers are concerned about the cost of the system.

You have been appointed as a Junior Treasury Consultant to prepare a report advising management.

Assignment Questions

1. Evaluation of the Current System (25 Marks)

i. Identify and explain the weaknesses of ZML's current manual treasury system.

ii. Discuss the risks that the company faces if it continues relying on spreadsheets and manual processes.

2. Benefits of a Treasury Management System (30 Marks)

i. Explain how a Treasury Management System could improve efficiency in ZML's treasury operations.

ii. Discuss how a TMS could strengthen internal controls and reduce the risk of fraud or errors.

3. Cost Justification and Implementation (25 Marks)

i. Discuss how ZML can justify the cost of implementing a TMS.

ii. Compare the advantages and disadvantages of:

- Purchasing and installing the system internally
- Using a third-party hosted solution

iii. Suggest two practical steps management can take to ensure the system is fully utilized after installation.

4. Internal Audit and Compliance (20 Marks)

i. Explain the role of internal audit in supporting the implementation of a TMS.

ii. Discuss how a TMS can help prevent control breaches and improve financial reporting reliability.

Instructions

- Prepare a structured report (1,500 – 2,000 words).
- Use headings and subheadings.
- Support your discussion with relevant treasury management concepts.
- Provide practical examples where appropriate.
- Use Times New Roman as font, and 12 as font size.
- Use 1.5-line spacing.
- Justify the paragraphs, i.e. blocked left and right.
- Acknowledge/reference the source of material (i.e. inside text referencing) using APA system of referencing. Failure to do so amounts to plagiarism.
- The assignment should have a table of contents, introduction, main body, conclusion and references.
- State your student number only.
- Strictly observe submission deadline, as late submissions shall not be graded.

Notes:

1. **Submissions via e-mail will not be graded.**
2. **Submissions with SI above 30 will not attract any marks.**
3. **AI generated references that do not exist will lead to loss of marks.**
4. **Use AI ethically and responsibly.**